

A WRITING CRITIQUE OF

CEO Incentives and Acquisitions: Evidence from the Pay Ratio Disclosure Mandate*

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*Presented at several venues, including SFS Cavalcade Asia-Pacific 2025

The Paper in a Nutshell

- Setting: 2017 SEC mandate forcing firms to disclose CEO-to-median-worker pay ratio
- Question: Did the mandate change CEO pay sensitivity, and thus CEO behavior (M&A)?
- Identification: DiD — high vs. low pay-ratio firms, before vs. after 2018
- Finding 1: High-ratio firms cut pay-size and upside pay-performance sensitivity
- Finding 2: These firms do fewer but better large Acquisitions, and more but worse small Acquisitions

The Title

CEO Incentives and Acquisitions: Evidence from the Pay Ratio Disclosure Mandate*

What's working:

- “Topic:Setting” format, is established and professional
- “Evidence from...” format, signals an exogenous shock and credible identification

What's not working:

- Punchline, Title neither has thesis nor tension
But: Paper has two linked findings, hard to compress into one line
- Precision, “CEO Incentives” is too generic and might trigger wrong expectations

The Abstract

Abstract

Consistent with greater public scrutiny curbing CEO pay growth, the 2017 Pay Ratio Disclosure Mandate reduced the sensitivity of CEO pay to firm size and upside performance, while leaving downside pay-performance sensitivity unchanged. The weakened pay-size link incentivized CEOs to screen large M&A deals more carefully, as value-destroying large deals no longer increase compensation. Consequently, firms shifted M&A strategies, pursuing fewer large but higher-quality deals and more small but lower-quality ones. These findings highlight how exogenous changes in the drivers of CEO compensation affect firm outcomes.

The Abstract

What's working:

- Results-only, direct opening is catchy
- One-sentence spelled out mechanism (S2), cause → behavior → reason
- Symmetric contrast (S3), makes the four statements easy memorable

What's not working:

- Hedging opener (S1), makes the paper look boring
- Overloading (S1), makes it impossible to remember all claims

An Unnamed Intro

What's not working:

- **Page 1-7:** Not heading, unnamed, text, actually is an introduction
- **Page 8:** first heading, "1. Institutional Background And Related Literature"
 - 1.1 Institutional Background
 - 1.2 Related Literature

While there is significant debate surrounding CEO compensation and whether CEOs are overpaid, there is a paucity of evidence about how changes in CEO compensation structure (including both the level and composition of pay) affect CEO decision-making or actions, with potential implications for firm value.¹ Understandably, this is not an easy task. Changes to a CEO's compensation contract are likely endogenous to factors that might directly affect the CEO's actions and firm outcomes. It is therefore difficult to isolate the effect of changes in compensation features from the other factors influencing the CEO's actions.²

The issue is important not only for policymakers, but also for those responsible for setting CEO pay, i.e., members of the board Remuneration Committee, as well as stakeholders concerned about the impact of CEO pay on shareholder value, including investors. A recent survey of directors and investors conducted by Edmans, Gosling, and Jenter (2023) raises questions about the importance of financial incentives in motivating CEOs. The survey respondents reported that financial incentives are of secondary importance compared to the importance of "fairness" in pay (e.g., being paid for good performance or being paid like their peers) and ex-post recognition.

One way to tease out how CEO actions respond to changes in compensation contract features is to examine the effect of external pressure on compensation. However, this approach is not immune from endogeneity concerns, since external pressure exerted on an individual firm (e.g., via a voluntary "Say-on-Pay" (SoP) shareholder proposal), is also endogenous. Cufiat, Giné, and

¹ Throughout this paper, we use "decisions" and "actions" interchangeably. However, "decisions" may be more appropriate in our context, as M&A activities, our main focus, are likely to be closely associated with CEO decisions, and it is less clear what specific "actions" a CEO must take to pursue an acquisition. In our model, we emphasize the CEO's project screening effort. Such effort could be rationalized as costly decision-making, given that the opportunity cost of being preoccupied with a particular deal might reduce attention to other deals.

² Structural estimation of models of CEO pay can counterfactually address the implications of a pay-setting process that does not maximize shareholder value. Page (2018) estimates a model in which the board sets CEO pay and assigns some weight to the CEO's utility. This weight is interpreted as "CEO power". Compared to other CEO characteristics, CEO influence has a relatively modest impact on firm value. The Economics literature relies on experimental evidence to study how financial incentives affect performance outcomes and often finds weak effects (e.g., Camerer and Hogarth, 1999). However, experiments involving CEOs do not seem feasible.

Bloomfield, 2021). Two recent works by Knust and Oesch (2020) and Chang et al. (2023) find no significant changes in total CEO compensation reported in the numerator of the pay ratio for fiscal year 2017. In contrast, we examine a longer sample period from 2012 to 2022, enabling us to study the long-term post-policy impacts. Our approach highlights the importance of examining heterogeneity in firm responses to the regulation, allowing us to study its effects on firms with varying levels of pay disparity.

In terms of policy implications, our findings provide evidence of the impact of the Pay Ratio Disclosure Mandate on firms' real decisions. The debate over the necessity and benefits of the policy has continued to intensify since the rule's announcement.⁹ Recent academic studies have also questioned whether a cost-benefit analysis would justify the disclosure requirement (Crawford, Nelson, and Rountree, 2021). While our results do not indicate any immediate shareholder wealth effects associated with the mandate, they do show that large deals are better screened, reducing the likelihood of empire building through such deals. This has potentially important consequences for shareholders, as underperforming large assets are typically more difficult to divest than small assets and may drain resources from profitable projects in the future.¹⁰

1. INSTITUTIONAL BACKGROUND AND RELATED LITERATURE

1.1 Institutional Background

Section 953(b) of the Dodd-Frank Wall Street Reform and Consumer Protection Act

⁹ For example, former SEC Commissioner Michael S. Piwowar argues that "no commenter provided us with any data that would allow us to quantify potential benefits given that there are estimated \$1.3 billion in initial compliance costs." (<https://www.sec.gov/newsroom/speeches-statements/dissenting-statement-open-meeting-pay-ratio-disclosure-ftn27>)

¹⁰ There are several reasons why divesting larger non-performing assets that were created via acquisitions may be difficult. Boot (1992) proposes a model in which managers incur reputational costs of divesting underperforming assets that are obtained via acquisition. Larger asset acquisitions and subsequent divestitures may attract more attention than smaller ones, increasing such reputational cost. Other reasons include the lack of a ready market, difficulties of valuation and due diligence, and so on, relative to smaller non-performing assets.

The Introduction

What's not working:

- **P1:** Detour, endogeneity issue
- **P2:** Detour, Edmans-Gosling-Jenter Suvey
- **P3:** Detour, Say-on-Pay
- **P4:** Hit the topic, "In this paper, we examine..."

P1 While there is significant debate surrounding CEO compensation and whether CEOs are overpaid, there is a paucity of evidence about how changes in CEO compensation structure (including both the level and composition of pay) affect CEO decision-making or actions, with potential implications for firm value.¹ Understandably, this is not an easy task. Changes to a CEO's compensation contract are likely endogenous to factors that might directly affect the CEO's actions and firm outcomes. It is therefore difficult to isolate the effect of changes in compensation features from the other factors influencing the CEO's actions.²

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Guadalupe (2016) address this issue via a regression discontinuity design around voting outcomes on voluntary Say-on-Pay proposals during the 2006-2010 period. They estimate that adopting a SoP leads to a 5 percent increase in firm value. However, they find no systematic effect of SoP on CEO pay. They argue that SoP has a heterogeneous impact on CEO pay (i.e., "one size does not fit all") and possibly also affects firm performance by providing shareholders "voice" to express dissatisfaction regarding firm performance.³

P4 In this paper, we examine the impact of a recent policy on CEO pay disclosure which, as we show, changed how CEO compensation responds to some of its major drivers for one group of firms. For this group, we find that the policy affected one of the most important decisions a CEO makes, namely, an acquisition decision. In 2015, the SEC issued a pay ratio disclosure rule, requiring public firms to disclose both the median annual total compensation of all employees (excluding the CEO) and the ratio of the CEO's compensation to the median employee's compensation. This disclosure was required in the annual proxy statement starting from the first fiscal year beginning in or after January 2017. Thereafter, calendar year-end companies started to disclose their 2017 pay ratios for the first time in the early months of 2018.

Reporting a relatively high ratio can expose firms to stricter scrutiny from various stakeholders, and result in higher reputational costs. After the disclosure of pay ratios, both retail and institutional investors seemed concerned about high within-firm pay disparity, reacting negatively through portfolio rebalancing (Pan et al., 2022; Chang et al., 2023). Shareholders were also more likely to vote "against" Say-on-Pay proposals and to advocate for more governance-

³ SoP became mandatory after the passage of the Dodd-Frank Act in 2010. In a recent paper, Barry (2024) presents a quantitative model to estimate the impact of a non-binding SoP provision on CEO pay, where boards take into account the threat of non-approval when setting CEO pay. He finds that SoP, despite its high approval rate, reduces CEO pay and increases firm value. He also conducts a counterfactual analysis and estimates that a binding SoP policy would raise CEO pay and lower firm value.

Timeline as writing problem

Preperiod:

- 2010: Dodd-Frank
- 2013: SEC proposes
- 2015: SEC adopts
- 2017: Rule effects
- 2018: 1st Disclosure

Post-period:

- 2020: COVID-19
- 2022: ESG

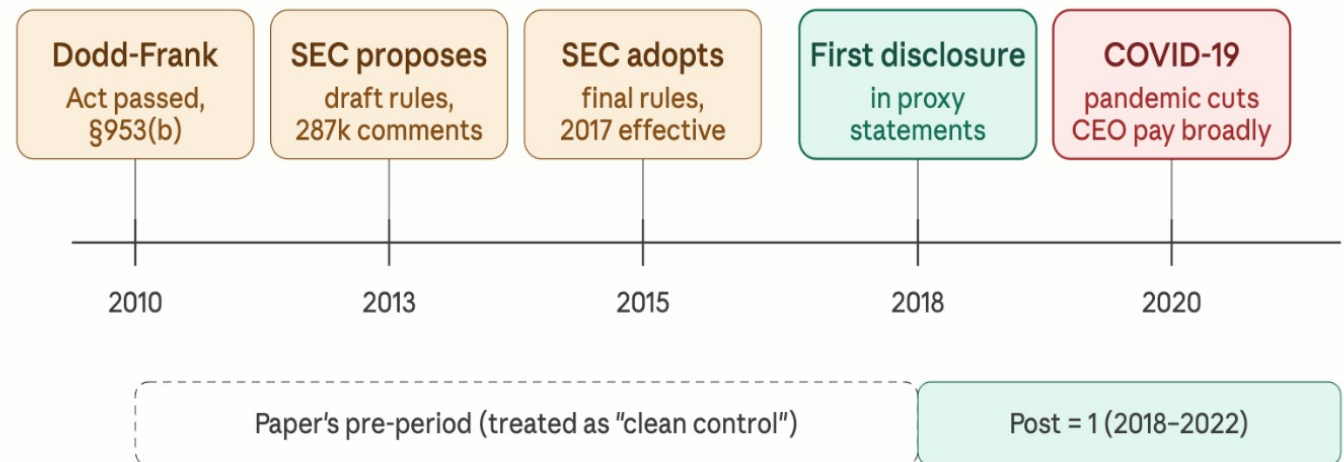


Figure 1: Timeline of Pay Ratio Disclosure Mandate

Major 'landmines':
Anticipation & COVID-19 Effect

Silence on 2023-2024

Data Sample:

- 2012-2022
- ExecuComp, SDC

As a reader:

- Why is this a writing problem?
- Why did they stop at 2022?
- Did the results from the later years not support their story?

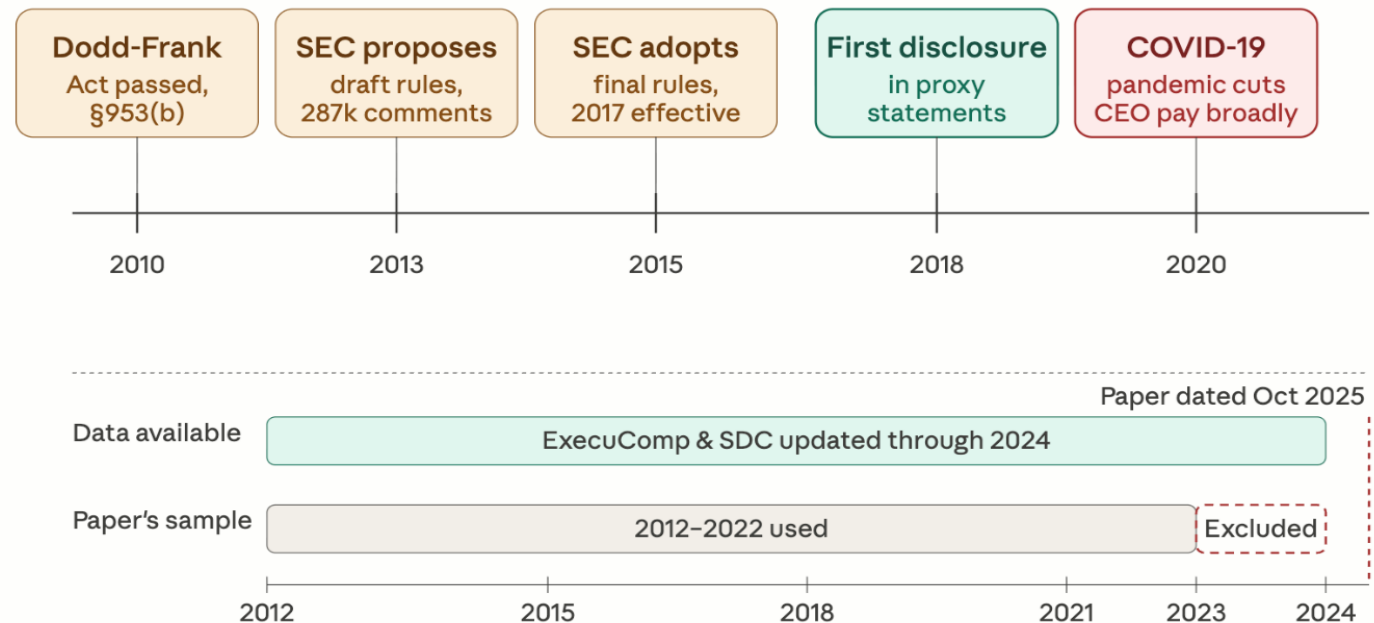


Figure 2: Timeline of Pay Ratio Disclosure Mandate and Paper's sample selection